

NEW TAX REGIME

The alternate tax slabs offered by the government as per the New Regime introduced in 2020 are in the below table. Government gives an option to each choose between the two tax regimes. You will observe in the newer regime that the rates are lower than the older regime. But why so? Rates are lower as the new tax regimes do not allow a person to take advantage of any of the deductions and exemptions offered under the old tax regime. Because of this, even though tax rates go down, the taxable income remains higher and therefore you end up in a higher tax bracket.

The calculation of taxes payable remains the same under both the methods. Only the rates change for the same. We will discuss the suitability of the old and new regime in a while and how it affects your Lazy Financial Plan. Both these are suitable in different kinds of circumstances. We will discuss the required aspects of it going forward. Before we discuss selection of tax regimes and its implications on taxes and Financial Plan, we will first understand the various exemptions and deductions. These are offered to us only as per the older regime and newer regime does not allow for any of it.

